Unilever in the Global Economy

2020–2025

Speaker 1
Globalisation

Speaker 2
Regional Integration

Speaker 3
MNEs from Advanced Economies

Speaker 4
FDI

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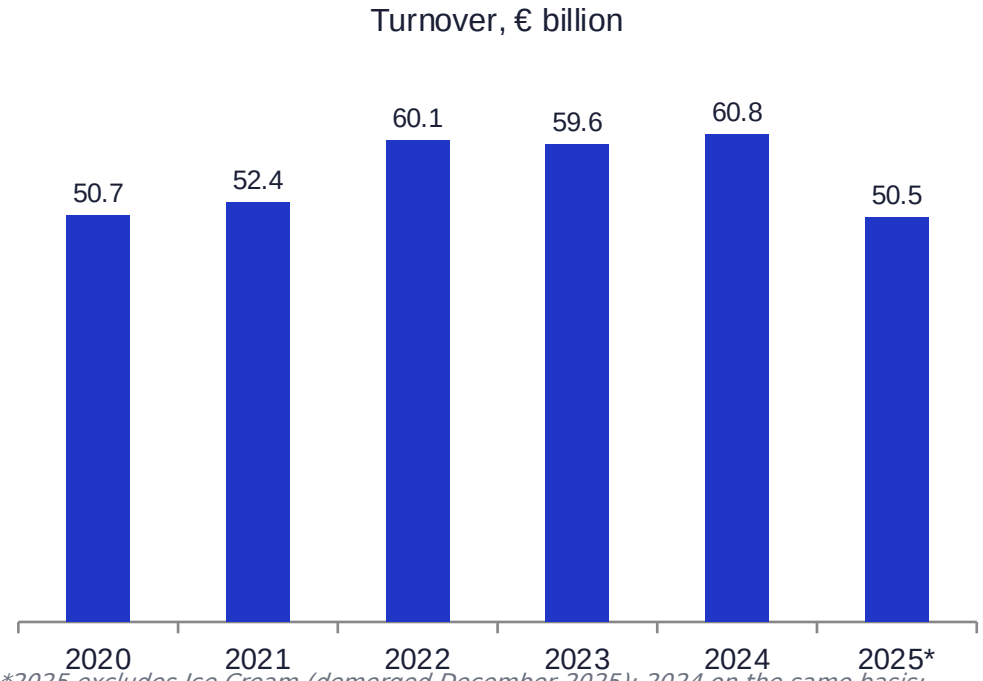
Our mind map

Four branches, one company, one period: 2020–2025



Unilever at a glance, 2020–2025

UK-based consumer goods MNE: beauty, personal care, home care, food



**2025 excludes Ice Cream (demerged December 2025); 2024 on the same basis: €52.5bn.*

59% of turnover from emerging markets (2025)

~190 countries where its brands are sold

3.4bn people use its products every day

118k average employees in 2025 (150k in 2020)

Sources: Unilever PLC (2021; 2026a; 2026b).

Globalisation: one world market?

Levitt (1983) and the five drivers (Lecture 1)

A global company treats the world as one market and sells the same things in the same way (Levitt, 1983).

Five drivers

- Political: lower trade barriers
- Technology: digital, AI
- Market: global customers
- Cost: economies of scale
- Competition: global rivals

Two areas

- Globalisation of markets: new customers, smoother income
- Globalisation of production: make where it is best and cheapest

The tension

- Standardise: global brands
- Localise: local tastes and prices
- Risks: shocks travel fast

Sources: Levitt (1983); University of Greenwich (2026a).

Unilever: global growth, global shocks

Same brands everywhere, but more risk in 2020–2025

Date	What happened	Impact on Unilever
Mar 2020	COVID-19 lockdowns; supply chain change programmes paused	Extra supply-chain costs cut underlying operating margin by ~0.9 points; emerging-market sales growth only 1.2% in 2020
Mar 2022	War in Ukraine: imports, exports and capital flows with Russia stopped	Russia = 1.4% of turnover, ~3,000 staff, 4 factories
Jan–Dec 2022	High inflation: net material inflation €4.3bn	Prices +11.3%, volumes −2.1%; underlying sales growth 9.0%
Oct 2024	Sale of the Russian business to Arnest Group completed	Unilever left a market for political reasons
Dec 2025	Year-end: Asia Pacific Africa 44%, Americas 37%, Europe 19% of turnover	59% from emerging markets: growth now depends on them
2025 report	Rising protectionism and tariffs named as a supply-chain risk	Globalisation is less smooth

So what? Global brands and emerging markets drive growth, but shocks now travel fast.

Sources: Unilever PLC (2021; 2023b; 2025a; 2026a; 2026b).

Regional integration: Mexico and USMCA

Lecture 2 · Focus country: Mexico

Countries in a region remove barriers between them, step by step. USMCA is level 1: a free trade area.

Five levels

- Free trade area ← USMCA
- Customs union
- Common market
- Economic union
- Political union

Effects

- Trade creation: more trade between members
- Trade diversion: from a cheaper outside country to a member

USMCA in brief

- US, Mexico and Canada; replaced NAFTA in Jul 2020
- Zero tariffs if rules of origin are met
- Mexico = US's No. 1 trading partner (2023, $799bn goods trade)

Sources: University of Greenwich (2026b); USTR (n.d.); US Census Bureau (2024).

Mexico: Unilever's door to North America

Mexico is one of Unilever's 10 largest markets; 7,000+ employees

Date	What happened	Benefit for Unilever
Jul 2020	USMCA enters into force (replaces NAFTA)	Qualifying goods made in Mexico enter the US and Canada with no tariffs
Feb 2023	New beauty & personal care plant in Nuevo León (near the US border) announced: $400m	Low-cost production next to the US market
Mar 2025	US 25% tariff on Mexico (4 Mar); USMCA-qualifying goods exempted (6 Mar)	Meeting USMCA rules of origin protects Unilever from tariffs
Apr 2025	Plant investment doubled to $800m; will "mainly export to the U.S. and Canada"	850 direct jobs; supplies the US, Unilever's biggest market (€10.5bn turnover, 2025)
May 2025	MXN 30bn (~$1.5bn) Mexico plan for 2025–2028 announced with President Sheinbaum	New lines, logistics and digital tools; plant serves Mexico, the US and Canada

So what? USMCA makes Mexico a low-cost, tariff-free base for the US. Limit: only ~half of US imports from Mexico qualified in 2024.

Sources: USTR (n.d.); MND Staff (2025); Fortune (2025); Bloomberg Línea (2025); Unilever PLC (2026a).

MNEs from advanced economies

Lecture 4: MNE goals vs host-country goals

An advanced-economy MNE goes abroad to use advantages it already has. Its goals and the host country's goals can clash.

MNE goals

- High returns
- More sales
- Lower costs
- Share risk
- Better technology

Host-country goals

- Jobs and growth
- Technology
- Control of the economy
- A fair share of profits
- Clean environment

When they clash

- Creeping expropriation: new taxes and rules
- Outright expropriation
- Profits leaving the country

Sources: University of Greenwich (2026c).

Unilever: British advantages, local partners

Brands and R&D from home; shared ownership abroad

Date	What happened	Impact on Unilever
2020–2024	R&D spending grows from €800m to €987m a year	Technology and brands: ownership advantages from an advanced economy
Mar 2024	Productivity programme: about 7,500 office jobs to go	Target €800m savings in 3 years; €200m saved and 4,300 jobs gone by Dec 2024; €850m restructuring costs in 2024
Oct 2024	Russian business sold, after staying since Mar 2022	Protected assets for 2½ years, but clashed with home and host politics
Dec 2024	Local listed subsidiaries: India 61.9%, Indonesia 85%, Nigeria 76%	Local investors share profits; lowers political risk
Apr 2025	Hindustan Unilever buys 90.5% of Minimalist (Rs 2,670 crore; announced Jan 2025)	Moves Beauty & Wellbeing in India towards faster-growing spaces
Dec 2025	30 Power Brands make 78% of turnover	Global brands are the core of its advantage

So what? Unilever's advantages come from home, but it must balance profit with host-country jobs and politics.

Sources: Unilever PLC (2021; 2025a; 2025b; 2026a; 2026b); Entrackr (2025).

FDI: why and how firms invest abroad

Lecture 3 · Focus country: United States

FDI: a company owns and controls a business in another country, by building it (greenfield) or buying it (M&A).

OLI model (Dunning)

- O – Ownership: brands, technology, money
- L – Location: big market, low costs
- I – Internalisation: own it, do not license it

Four motives

- Market-seeking
- Resource-seeking
- Efficiency-seeking
- Strategic asset-seeking

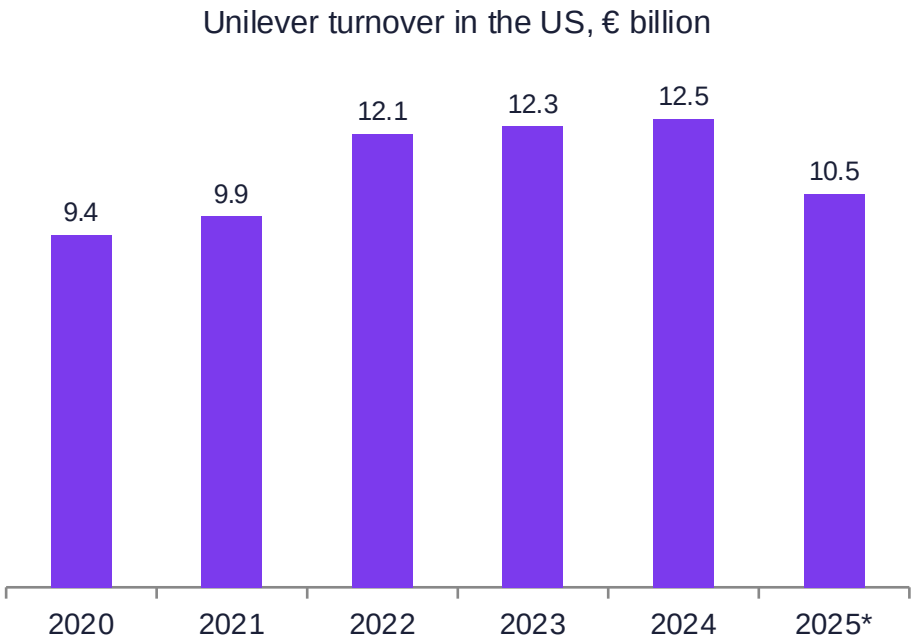
Two modes

- Greenfield: build new; slower, full control
- M&A: buy; faster, but expensive and hard to integrate

Sources: Dunning (1988); University of Greenwich (2026d).

Why the United States? Unilever and OLI

The US: world's largest FDI host ($279bn in 2024) and Unilever's biggest market



2025 excludes Ice Cream (demerged Dec 2025); 2024 on the same basis: €10.4bn. About 1/5 of group turnover.

O · Ownership
Global brands, money and worldwide distribution

L · Location
Biggest market; many premium and online shoppers

I · Internalisation
Owns the brands to control them and take them abroad (Nutrafol → Canada, 2023)

Sources: Unilever PLC (2022; 2023a; 2024; 2025a; 2026a); UNCTAD (2025).

Unilever in the US: what each deal brought

Mainly M&A = strategic asset-seeking: brands, customers, online skills

Date	What happened	Benefit for Unilever
Aug 2021	Paula's Choice (skincare, sells online), 100%, €1.83bn	Direct-to-consumer e-commerce skills; Prestige Beauty grew double-digit in 2022
Jul 2022	Nutrafol (hair wellness): stake raised to 80% for €811m	First launch outside the US (Canada, 2023); led double-digit Wellbeing growth in 2025
Feb 2024	K18 (premium hair care), 91.88%	Grew double-digit in 2024
Sep 2025	Dr. Squatch (men's care), 98.7%, €1.24bn	Moves Unilever into "premium and high-growth spaces"
Dec 2024	Year-end: Prestige & Wellbeing ~30% of Beauty & Wellbeing turnover	In the US, 70% of Beauty & Wellbeing sales now from these premium brands
Dec 2025	Year-end: North America underlying sales growth 5.3%	US non-current assets €12.9bn (2020) → €19.7bn (2024); market share largely recovered

So what? Buying US premium brands gave Unilever growth, online skills and a stronger base in its biggest market. Risk: US premium beauty slowed in 2024.

Sources: Unilever PLC (2022; 2023b; 2024; 2025a; 2026a; 2026b).

Conclusion: smaller, but more focused

What our four theories tell us about Unilever, 2020–2025

Globalisation	Global brands and emerging markets (59% of turnover) drive growth, but COVID-19, inflation and Russia show the risks.
Regional Integration	Mexico + USMCA: a low-cost, tariff-free base to supply the US, Unilever's biggest market.
MNEs from Advanced Economies	Brands and R&D are its advantages; local listings share profits, but job cuts and Russia show goal conflicts.
FDI	US FDI (mainly M&A) bought premium brands and online skills, and grew Unilever in its biggest market.

From 2020 to 2025, Unilever became smaller, but more focused on beauty, personal care and fast-growing markets.

Thank you

Questions are welcome

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